Warren Buffett wrote in his 1988 Berkshire Hathaway chairman's letter, "Amazingly, EMH was embraced not only by academics, but also by many investment professionals and corporate managers as well. Observing correctly that the market was *frequently* efficient, they went on to conclude that it was *always* efficient. The difference between these propositions is night and day."[5]

Other indications also pointed away from perfectly efficient markets and investor rationality. These included premiums on closed-end fund and government-backed mortgage securities that are not arbitraged away, and ubiquitous market bubbles that imply substantial deviations of prices from intrinsic values over extended periods.

ALTERNATIVES TO PASSIVE INVESTING

Even though I knew that the market was very hard to beat, I came to believe that it was not impossible to do so. For better or worse, I took upon myself the formidable task of trying to identify and exploit true market anomalies and inefficiencies. Don Quixote, move over.

In the late 1970s, I had the idea, long before Long-Term Capital Management (LTCM), of managing a derivatives-based hedge fund. There were no publicly available data feeds back then, so I hired an electrical engineer to tear apart a quote machine, dump the data into a microprocessor, and then feed that into our office minicomputer. I formed partnerships with market makers on all the option exchange floors, did well initially, and then suffered the same fate as later befell LTCM. This was due to the same reasons of overleverage coupled with highly unusual events. I, however, did not reach the "limits of arbitrage" and require the intervention of the Federal Reserve to keep from destroying the world's financial system.[6] I tried to learn from that experience and move on, still convinced that there were anomalies out there ready to be exploited.

In the early 1980s, I had another promising idea and started commodities pools that used my own Bayesian-based portfolio optimization model to allocate capital to some of the world's top traders, such as Paul Tudor Jones, Louis Bacon, Richard Dennis, John W. Henry, Al Weiss, Tom Baldwin, and Jim Simons. These traders not only were very successful;